

Re: Taiwan Strait Conflict

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Key Threats and Opportunities

Economy

If the conflict takes broader shape, trade through South China Sea is threatened. The bulk of our trade in the East is with China and ASEAN, but routes to Japan and South Korea are also impacted. The Eastern trade is roughly half of our trade by volume. The strategic impact is to semiconductor supply which has proven to be a critical input for modern economies.

However, we have a live crisis with petroleum due to the Strait of Hormuz conflict. The USA also happens to be an actor in that situation. We are running with alternate suppliers of petroleum - Russia is a large part of this. We have a waiver for sanctions against oil purchases from Russia as a temporary measure. This waiver is trivially threatened.

Actors Involved: *Global*

Defense

While there is no direct military threat, our position at Great Nicobar islands obliges an informal response. Our Indo-Pacific programme has projected that uninterrupted trade flows through Malacca Strait is a priority, and we have invested in the Great Nicobar naval base with this as the stated interest.

We defend border interests against Pakistan and China, who are military allies and both actors in this conflict.

Actors Involved: *The USA, China, Pakistan*

Diplomatic

We wish to maintain our stance as a neutral nation. To varying extents, we have mutual interests with all actors involved in the conflict. It is difficult to find a path which keeps all relations unimpacted.

The US is currently an unstable actor and is likely to see anyone not helping them as taking an adversarial position. China will trivially see helping the US as India backtracking on its position to recognise Taiwan as part of China and label that as a diplomatic breach.

The boundary between neutrality and irrelevancy is thin. If we want to position ourselves as a third pole in a multipolar world, there is both risk and opportunity here.

Actors Involved: *The USA, China, Russia, The UK, The EU*

India's Options

Grab your glass tight when a bar fight breaks out

Strengthen border posture

It is against our diplomatic principles to take any offensive measure but it would be prudent to strengthen our border positions. China's position on its Indian border is unpredictable in this conflict. The naive argument is that China will be distracted, but diplomatic attention is more easily divided than military presence for a nation like China. An escalation with Taiwan could also be seen as an opportune moment for China (and Pakistan) to escalate tensions along other contested borders.

Such actions have a diplomatic risk of being called out as opportunistic. We have a ready response for that. We are defending our national interests. After all, we would not be targeting Chinese borders alone. China's military options here are limited short of raising its military presence. Our action is already an anticipatory measure for increased Chinese presence along our borders, so that is largely a no-op.

We are an injured player

Stall, absorb, and diversify while energy security is under strain

Diplomacy has the more natural levers at play. The US being a chief actor in the Hormuz crisis is an opportunity in this context. The economic drain caused by the crisis impairs our ability to participate meaningfully in another conflict, even if we wished to. This is a consistent diplomatic line to take. As a large nation dependent on imports for our energy requirements, our actions have been dictated by defending our energy security both for Russia-Ukraine and US-Iran conflicts.

On the other hand, if we express any explicit support to the US, it alienates China (and Iran). Russia and other oil producing middle eastern powers have their own allegiances in this conflict but oil's status as a global commodity should be considered undeterred. Thus, explicit economic and geographic barriers are the only blockers to energy security. Oil producing nations' diplomatic allegiances are subject to their ability to sell oil.

Meanwhile, we have an agreement (LEMOA) with the US where we agree to provide resupply access to each other but that is limited in scope to joint training exercises and humanitarian aid. We should clarify that our naval bases in Andaman and Nicobar Islands bases are ready for humanitarian aid but not for any combat assistance, consistent with our approach to play the bartender in the Indian Ocean.

If the US perceives this as adversarial non-cooperation, a basic counter-response would be to raise economic barriers against India even further. This includes sanctions, blocking technology transfer and blocking movement of labour. It is not obvious that the US will take this stance as there is limited sympathy for its global military program. And as far as the US is a democratic state, their escalations against foreign actors have a domestic political cost to the ruling party. But even if it does, this is an escalation on an existing front. We're already fighting such barriers. Our action space in this scenario remains at "absorb the shock and diversify", which is also a politically consistent line to take.

The trickier case is if the US accepts this stance. It is unlikely they will do this simply for resupply access, but they might for other reasons decide to drop the Hormuz issue and shift the entire focus on China. After all, the initial objectives of the Iran mission are no longer under discussion. The present day conflict is driven by Iran's desire to charge a toll on Hormuz and the US desire to avoid that and cripple Iran further. The toll is an economic cost which can be accepted in terms of more urgent strategic needs, such as securing the semiconductor supply chain. And crippling Iran is a vague vindictive goal. What does India do in this scenario? Semiconductors are important but less critical to *roti-kapda-makaan* than energy. Our best choice is to stall further and buy time. We need time to repair the economic damage already done and there is a domestic political process to be followed if we have to commit to a conflict.

As a long term signalling measure, neutrality has the risk of accepting a diminished role in global politics. However, an injured player cannot play a match which could cause a permanent injury.

We are economically impaired by any conflict, but so is everyone. Energy security is the prime directive. Maintaining a consistent diplomatic stance is the next. Technological needs can be diversified, and relationships can be repaired.